



RALLYS EQUITIES PRIVATE LIMITED

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# Internal Controls Policy

# Internal Controls Policy of Rally's Equities (Pvt) Limited

## 1. Introduction

Rally's Equities (Pvt) Limited is a TREC holder of Pakistan Stock Exchange Limited and is one of the reputed brokerage houses in Pakistan, with more than eighteen years of experience in the brokerage industry.

Throughout its operations, Rally's Equities (Pvt) Limited has maintained a reputation for competence, integrity, and the protection and safety of clients while providing brokerage services.

Keeping this in view, the Board of Directors of the Company has established a system for internal controls and risk management. Under this system, a Management Committee has been formed. Its responsibilities include overseeing the operations and transactions of the brokerage house, ensuring regulatory compliance, establishing internal control policies, managing client-related risks, and safeguarding the interests of the Company.

This policy shall be implemented in consultation with the Chief Executive Officer.

## 2. Board and Audit Committee Oversight

With reference to Clause 43.7, the Board and Audit Committee should review:

1. Significant financial reporting matters.
2. Accounting policies.
3. The securities broker's financial statements.
4. Formal financial announcements.
5. Net capital balance statements.
6. Other regulatory reports.
7. The appropriateness of the going-concern assumption.
8. Transactions with related parties.
9. Any other significant reporting or compliance matter.

## 3. Risk Management Committee

The Risk Management Committee of the Company shall comprise the following members:

1. Chief Executive Officer.
2. Chief Operating Officer/Compliance Officer.
3. Managers.

## 4. Scope of the Policy

This policy covers the following three areas:

1. Internal controls.
2. Risk management.
3. Audits.

## 5. Internal Controls

### 5.1 Registration of Clients

1. Introduced clients shall be verified in person.
2. The prescribed KYC forms for individual and non-individual clients shall be completed and duly signed, along with all required supporting documents.
3. After satisfactory identification and verification, the client shall be registered and activated and provided with a unique client code.
4. Welcome letters shall be sent to clients informing them of their client code, back-office login details, and other relevant information.
5. The unique client code of each client shall be mapped to the relevant trading terminals.
6. Trading limits shall be allocated according to the respective credits, deposits, and available margins of the client.
7. Completed and duly signed KYC forms shall be retained for record-keeping, audit, and cross-checking purposes.

### 5.2 Collection and Release of Payments

1. Payments relating to trades executed by clients shall be collected through cheques, demand drafts, or other approved banking instruments.
2. All payments received shall be deposited into the designated client bank account of Rally's Equities (Pvt) Limited.
3. Payments to clients shall be made through account-payee crossed cheques or other approved banking channels in favour of the respective clients, according to their instructions.
4. No cash collections or payments shall be undertaken or permitted.

### 5.3 Collection and Maintenance of Margins

1. Rallys Equities (Pvt) Limited shall allow exposure limits to customers in accordance with applicable rules and regulations.
2. Exposure limits shall be assigned to customers after proper review and approval by the Compliance Officer.
3. The policy relating to exposure limits shall not be in contravention of any applicable rules or regulations.
4. The Compliance Officer shall monitor trade debts regularly. Any contravention or violation shall be brought to the attention of management for necessary action.
5. Initial margin shall be collected through crossed cheques, banking instruments, or approved collateral.
6. Margin limits for trading shall be provided to clients in accordance with the defined rules and subject to the clearance of cheques or other banking instruments.
7. Credits received shall be posted to the respective client ledger and margin statement.
8. Real-time, client-wise risk management shall be conducted in the derivatives segment, including controls over margin and mark-to-market obligations.

#### **5.4 Collection and Delivery of Securities**

1. Securities sold in the market shall be collected from the respective clients to meet their pay-in obligations.
2. Securities shall be transferred to the designated client account in accordance with the client's authorization and instructions.
3. The delivery and transfer of securities shall be carried out in accordance with applicable regulatory requirements and internal procedures.

#### **5.5 Operational and Compliance Requirements**

1. The Compliance Department shall ensure that all books, records, and registers are maintained in accordance with the prescribed rules and regulations.
2. All activities relating to the monitoring and redressal of investor grievances shall be controlled and monitored by the designated Compliance Officer.
3. Compliance with applicable rules, regulations, notifications, directives, and guidelines shall also be monitored by the Compliance Officer.
4. Any non-compliance or operational deficiency shall be reported to management for corrective action.

#### **5.6 Business Continuity and Alternate Arrangements**

1. Rallys Equities (Pvt) Limited shall maintain a Disaster Recovery Policy.
2. Multiple locations and modes of connectivity shall be maintained for access to trading systems, back-office systems, and operational support.

3. Routine and specific backups of records and registers shall be maintained by the designated department.
4. Backups shall be retrieved and tested at regular intervals to verify their accuracy, authenticity, and usability.
5. Alternate arrangements shall remain available to ensure continuity of essential business operations in the event of a disaster or system disruption.

## 6. Risk Management System

The key elements of the Risk Management System shall include the following:

1. Monitoring of all brokerage-house operations by the Chief Operating Officer.
2. Configuration of preset margins for clients.
3. Availability of detailed margin reports on clients' trading terminals.
4. Preset controls in the trading system to prevent the sale of shares without available custody.
5. Restrictions on the volume and value of orders entered through trading terminals.
6. Assignment of exposure limits to clients on a case-by-case basis.
7. Setting margins for online clients at 100%.
8. Live monitoring of all client trades and positions.
9. Live monitoring of exposure against NCCPL requirements.
10. Continuous monitoring of client exposure.
11. Monitoring of inward and outward movements of shares.
12. Monitoring of incoming and outgoing payments.
13. Monitoring of settlement arrangements.
14. Daily comparison of back-office custody positions with CDC custody positions.
15. Daily comparison of recorded trades with PSX trade records.
16. Due diligence before transferring shares at the request of clients.
17. Due diligence before issuing cheques or making payments to clients.
18. Maintenance of daily backups.
19. Maintenance of weekly backups.
20. Availability and regular testing of the Disaster Recovery Plan.
21. Conducting daily and weekly audits of relevant operations.

## 7. Audit Policy

The Audit Policy shall include the following controls:

1. Daily audit of share movements in the Central Depository System.
2. Daily audit of bank receipts and bank payments.
3. Daily comparison of back-office custody positions with CDC custody positions.

4. Random checks and audits of operational procedures by the Compliance Officer.
5. Review of compliance with internal policies, applicable regulations, and operating procedures.
6. Reporting of any deficiency, discrepancy, or control weakness to the Chief Executive Officer.
7. Follow-up on reported deficiencies until appropriate corrective action has been completed.

## 8. Policy Approval, Communication, and Monitoring

All policies covered under this document shall be approved by the Board of Directors before implementation.

The approved policies shall be communicated in writing to the relevant employees. The Compliance Officer shall also brief the concerned employees regarding the key requirements and responsibilities arising from these policies.

The designated Compliance Officer shall monitor the proper implementation of the policies and procedures and shall follow up on any deficiencies, non-compliances, or corrective actions.